

Table 8.1 Value and Growth Stocks Summary Statistics

	Value Firms VW	Growth Firms VW	US Bonds	SP500
CAGR	12.40%	8.68%	5.45%	9.95%
Standard Deviation	31.92%	19.94%	6.92%	19.09%
Downside Deviation	21.35%	14.41%	4.43%	14.22%
Sharpe Ratio	0.41	0.35	0.31	0.41
Sortino Ratio (MAR = 5%)	0.54	0.37	0.12	0.45
Worst Drawdown	-91.67%	-85.01%	-20.97%	-84.59%

The evidence is clear: Value stocks have outperformed the market and growth firms since 1927. The compound annual growth rate (CAGR) for value firms is 12.40 percent, while growth firms earned a return of 8.68 percent. The comparison benchmark, the S&P 500, earned 9.95 percent over the same time period, while investing in US 10-year bonds yielded a total return of 5.45 percent.

But why have value stocks outperformed? There are two main theories for why value investing has worked in the past. The first theory, argued by Fama and French in their 1993 paper, “Common Risk Factors in the Returns on Stocks and Bonds,” is that low book-to-market (B/M), or value stocks, earn a higher average return as compensation for risk.⁶ Their finding is that stocks move well with the market, but to the extent there is cross-section variation in returns, this is driven by variation in size and value factors. Simply put, their theory is that value stocks are riskier, so their expected returns should be higher. The second theory, originally proposed by Warren Buffett's teacher, Ben Graham, and formally investigated in a 1994 paper by Lakonishok, Shleifer, and Vishny (LSV), is that value stocks earn higher returns because investors make behavioral errors and push stocks beyond their intrinsic value.⁷ The bias LSV describe is referred to as representative bias, where investors naively extrapolate past growth rates into the future.

[Figure 8.1](#) is created from data in the Dechow and Sloan 1997 paper, converted from Table 1 in their paper, to a bar graph for expositional purposes to highlight the concept outlined in the LSV 1994 paper.